聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2024 Third Quarter Consolidated Financial Result & The Fourth Quarter Outlook:

First Three Quarters Revenue & PAT Reached NT$77.5B & NT$15.54B Respectively With EPS of NT$25.54

Hsin-chu, Taiwan, ROC – November 6th, 2024 – Novatek (TSE:3034), a leading global display and image IC total solution provider, today announced its consolidated financial results of 2024's first three quarters and the fourth quarter outlook at the analyst meeting.

Revenue, gross profit, and operating income in the first three quarters of 2024 reached NT$77.5 billion, NT$31.5 billion, and NT$16.9 billion, representing year-over-year decrease of 6.9%, 9.9%, and 17.0%, respectively. The gross profit margin in the first three quarters of 2024 decreased to 40.62%, from 41.97% in the first three quarters of 2023. Net income in the first three quarters of 2024 decreased by 13.6% year-over-year to NT$15.54 billion, with earnings per share of NT$25.54.

The third quarter revenue rose by 10.44% quarter-over-quarter to NT$27.87 billion from NT$25.23 billion in Q2'24, but decreased by 3.68% year-over-year from NT$28.93 billion in Q3'23. The quarterly growth in consolidated revenue was mainly driven by the demand in stocking new OLED smartphones. The third quarter gross margin decreased QoQ from 41.14% in Q2'23 to 39.74%. This is primarily attributed to the ASP adjustment for certain products and the recent increase in gold price.

The third quarter operating expenses decreased quarter-over-quarter to NT$4.83 billion from NT$4.88 billion in Q2'24 and down year-over-year from NT$5.08 billion in Q3'23. The third quarter operating income increased quarter-over-quarter to NT$6.24 billion from NT$5.50 billion in Q2'24 and decreased year-over-year from NT$7.14 billion in Q3'23

Novatek's 2024 Q3 net income was NT$5.26 billion, which decreased quarter-over-quarter by 2.41% from NT$5.39 billion in Q2'24 and decreased year-over-year by 17.4% from NT$6.37 billion in Q3'23. Earnings per share for Q3'24 were NT$8.64, compared with NT$10.46 in Q3'23.

Management expects overall performance for the fourth quarter 2024 to be as followings:
Revenue is expected to be between NT$ 24.0 billion and NT$ 25.0 billion
Gross profit margin is expected to be between 37.0% and 40.0%
Operating profit margin is expected to be between 17.5% and 20.5%

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Sales & Profits

Million NT dollars	3Q'24	QoQ	2Q'24	3Q'23	YoY
Net Sales	27,866	10.44%	25,231	28,930	-3.68%
Net Gross Profit	11,074	6.68%	10,380	12,223	-9.40%
(Margin %)	39.74	-1.4p	41.14	42.25	-2.51p
Operating Income	6,241	13.39%	5,504	7,143	-12.62%
Net Income	5,258	-2.41%	5,389	6,366	-17.40%
EPS (NT$)	8.64	-0.22	8.86	10.46	-1.82

Sales Breakdown by Product

Million NT dollars	3Q'24	QoQ	2Q'24	3Q'23	YoY
SoC	10,305	-3.40%	10,668	11,082	-7.01%
Driver IC	17,584	22.81%	14,318	17,877	-1.64%
Total	27,889	11.62%	24,986	28,959	-3.69%

About Novatek

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 7th largest and Taiwan's 2nd largest fabless company in terms of sales revenue in 2023. For more information, please visit the company's web site at **www.novatek.com.tw.**



Novatek Microelectronics Corp.
Financial Report 2024 Q3



Issued in Nov 2024



Monthly Sales

MNT$

	2024	2023	+ (-) %
January	8,720	7,223	21%
February	7,133	7,641	-7%
March	8,575	9,181	-7%
April	8,329	9,961	-16%
May	8,439	10,225	-17%
June	8,463	10,112	-16%
July	9,268	9,675	-4%
August	9,680	9,694	0%
September	8,918	9,561	-7%
October	8,523	9,526	-11%
November		8,949	
December		8,679	
Total:	86,048	110,429	-22%
Jan.~Oct.	86,048	92,801	-7%

Sales Breakdown By Products

MNT$

Product	2024/Q3		2024/Q2		2024/Q1		2023/Q4		2023/Q3	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	10,305	37	10,668	42	9,520	39	9,598	35	11,082	38
DRIVER	17,584	63	14,318	57	14,537	60	17,218	63	17,877	62
Total:	27,890	100	24,986	99	24,057	98	26,816	99	28,959	100
OTHERS	12	0	270	1	462	2	489	2	78	0
Return & Allowance	(36)	(0)	(25)	(0)	(91)	(0)	(150)	(1)	(107)	(0)
Grand Total:	27,866	100	25,231	100	24,428	100	27,154	100	28,930	100
Growth	10%		3%		-10%		-6%		-5%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2024/1-9	%	2023/1-9	%	Growth %
Net sales	77,525,232	100.00	83,274,873	100.00	**(6.90)**
Cost of good sold	(46,033,440)	(59.38)	(48,326,579)	(58.03)	(4.75)
Gross Profit	31,491,792	40.62	34,948,294	41.97	(9.89)
Operating Exp.	(14,601,664)	(18.83)	(14,592,895)	(17.53)	0.06
Selling & Adm.	(2,129,062)	(2.74)	(2,080,350)	(2.50)	2.34
R & D Exp.	(12,472,602)	(16.09)	(12,512,545)	(15.03)	(0.32)
Operating Income	16,890,128	21.79	20,355,399	24.44	(17.02)
Net Non-Operating	1,544,923	1.99	1,545,618	1.86	(0.04)
Income Before Tax	18,435,051	23.78	21,901,017	26.30	(15.83)
Income Tax Exp.	(2,894,396)	(3.73)	(3,911,461)	(4.70)	(26.00)
Net Income	15,540,655	20.05	17,989,556	21.60	**(13.61)**
EPS	**25.54**		**29.56**		

Consolidated Income Statement (Q2 YoY)

(Expressed In New Taiwan Thousand Dollars)

	2024/Q3	%	2023/Q3	%	Growth %
Net sales	27,866,328	100.00	28,929,962	100.00	**(3.68)**
Cost of good sold	(16,792,362)	(60.26)	(16,707,294)	(57.75)	0.51
Gross Profit	11,073,966	39.74	12,222,668	42.25	(9.40)
Operating Exp.	(4,832,562)	(17.34)	(5,079,563)	(17.56)	(4.86)
Selling & Adm.	(698,529)	(2.50)	(717,106)	(2.48)	(2.59)
R & D Exp.	(4,134,033)	(14.84)	(4,362,457)	(15.08)	(5.24)
Operating Income	6,241,404	22.40	7,143,105	24.69	(12.62)
Net Non-Operating	169,055	0.60	623,583	2.15	-
Income Before Tax	6,410,459	23.00	7,766,688	26.84	(17.46)
Income Tax Exp.	(1,152,002)	(4.13)	(1,400,867)	(4.84)	(17.77)
Net Income	5,258,457	18.87	6,365,821	22.00	**(17.40)**
EPS	**8.64**		**10.46**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2024/Q3	%	2024/Q2	%	Growth %
Net sales	27,866,328	100.00	25,231,019	100.00	**10.44**
Cost of good sold	(16,792,362)	(60.26)	(14,850,868)	(58.86)	13.07
Gross Profit	11,073,966	39.74	10,380,151	41.14	6.68
Operating Exp.	(4,832,562)	(17.34)	(4,875,718)	(19.32)	(0.89)
Selling & Adm.	(698,529)	(2.50)	(721,221)	(2.86)	(3.15)
R & D Exp.	(4,134,033)	(14.84)	(4,154,497)	(16.46)	(0.49)
Operating Income	6,241,404	22.40	5,504,433	21.82	13.39
Net Non-Operating	169,055	0.60	619,691	2.45	(72.72)
Income Before Tax	6,410,459	23.00	6,124,124	24.27	4.68
Income Tax Exp.	(1,152,002)	(4.13)	(735,559)	(2.91)	56.62
Net Income	5,258,457	18.87	5,388,565	21.36	**(2.41)**
EPS	**8.64**		**8.86**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2024/9/30	2024/6/30	2024/3/31	2023/12/31	2023/9/30
Cash and Cash Equivalents	41,997,259	62,302,712	57,323,668	53,889,468	45,583,206
Short Term Loans	0	0	0	0	0
Net Cash	41,997,259	62,302,712	57,323,668	53,889,468	45,583,206
QoQ Change	(20,305,453)	4,979,044	3,434,200	8,306,262	(17,853,829)
Notes & Accounts receivable	20,678,634	18,599,796	17,029,983	16,934,522	20,611,687
QoQ Change	2,078,838	1,569,813	95,461	(3,677,165)	54,597
Inventory	9,362,233	9,410,185	9,102,549	8,551,098	9,115,106
QoQ Change	(47,952)	307,636	551,451	(564,008)	(1,400,912)